The AI-Native University: Chancellor's Proposal, Business Model and Inaugural Address

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The case in one page

We will build an AI-native university within three years: every student has an AI mentor, every teacher has an AI teaching partner, and a fifth of our income comes from digital products that serve learners far beyond our campus.

The reason is urgent. Employers now hire for judgement and AI fluency, learners expect help at any hour, and our income leans too heavily on one product, the on-campus degree. A university that polices AI will lose its best students and teachers; one that teaches people to work with AI will lead them.

The ask. Approve a three-year programme with an illustrative budget of USD 6.0 million, released in three gated phases, each unlocked only when its targets are met.

Three outcomes we commit to by Year 3

1. **Learning:** 100% of graduates leave with a verified AI-fluency credential and a portfolio of work done with AI, not despite it.
2. **Income:** digital products grow from about 3% to about 20% of operating revenue, from USD 1.0 million to USD 9.0 million a year.
3. **Trust:** no unresolved data-privacy breach, and every course publishes its AI-use rules in plain words.

Assumptions: all figures are illustrative planning numbers for a university of about 12,000 students and USD 36 million annual revenue today (campus revenue held flat at about USD 35 million), in US dollars. Replace them with our actuals before this goes to Council.

Vision: humans set the destination, AI carries the load

One rule governs every product and policy we create: people stay accountable for outcomes, and AI does the work that frees them to think, teach and care. Five principles turn that rule into decisions.

Principle	What we build	What we refuse
1. Human judgement stays accountable	AI drafts, flags and recommends; a named person decides grades, admissions and discipline	Automated final decisions about a student's future
2. AI fluency is a literacy, not an elective	AI skills in every programme; students show their prompts, sources and reasoning	Blanket bans that teach concealment instead of judgement
3. Every learner gets a mentor at 2 a.m.	An AI mentor grounded in our own courses that hands over to a human when it cannot help	Replacing teachers to cut cost
4. Learner data belongs to the learner	Opt-in, minimal, exportable data; plain-language consent	Selling data, or training outside models on it without consent
5. Access before profit	The AI mentor free for every enrolled student; 10% of digital-product margin funds scholarships	A two-tier university where good AI help is a paid extra

Any product that breaks one of these five returns to my office, however profitable it looks.

Digital products business model

Six products share one AI platform and reach USD 9.0 million a year by Year 3. The AI mentor is free to enrolled students; the same platform, our courses and our faculty are sold to learners, employers and institutions who never set foot on campus.

Anyone can rent an AI model. What only a university holds is credentials that employers believe and faculty whose judgement learners trust, so that is what we sell.

Product	Who pays	Price logic (illustrative)	Year 3 revenue (USD m)
Online and hybrid degrees	Learners; employers sponsoring staff	Premium tuition per credit, AI mentor and flexible pacing included	3.0
Micro-credentials and stackable certificates	Learners; employers	USD 250 to 900 per credential; each stacks toward degree credit	1.8
Employer skills platform	Companies	USD 15 to 40 per seat per month, plus custom cohorts	1.8
AI mentor subscription for outside learners	Alumni; independent learners	USD 12 a month	0.9
Courseware and AI-tutor licensing	Colleges and training providers	Annual licence per institution or per learner	0.9
Applied AI lab services	Industry; government	Fixed-fee projects and retainers, students working beside faculty	0.6
Total			**9.0**

Unit economics. Each product must earn a contribution margin near 60% after AI compute, or it does not scale.

Unit (USD, illustrative)	Revenue	Delivery cost incl. AI compute	Acquisition and support	Contribution	Margin
Micro-credential learner	400	90	60	250	63%
Employer seat, per year	300	70	50	180	60%
AI mentor subscriber, per year	144	36	20	88	61%

Three pricing rules

- **Charge for the human part.** Live faculty sessions, coaching and signed-off assessment are premium; routine explanation by AI is cheap or free.
- **Cap AI compute at 25% of product revenue.** Use smaller, cheaper models wherever they do the job.
- **Tie part of employer contracts to verified skill gains,** so we are paid for results, not seat time.

Operating model and AI governance

Governance is part of the product: seven plain rules, each with one named owner, let us move fast without losing the trust that our credentials depend on.

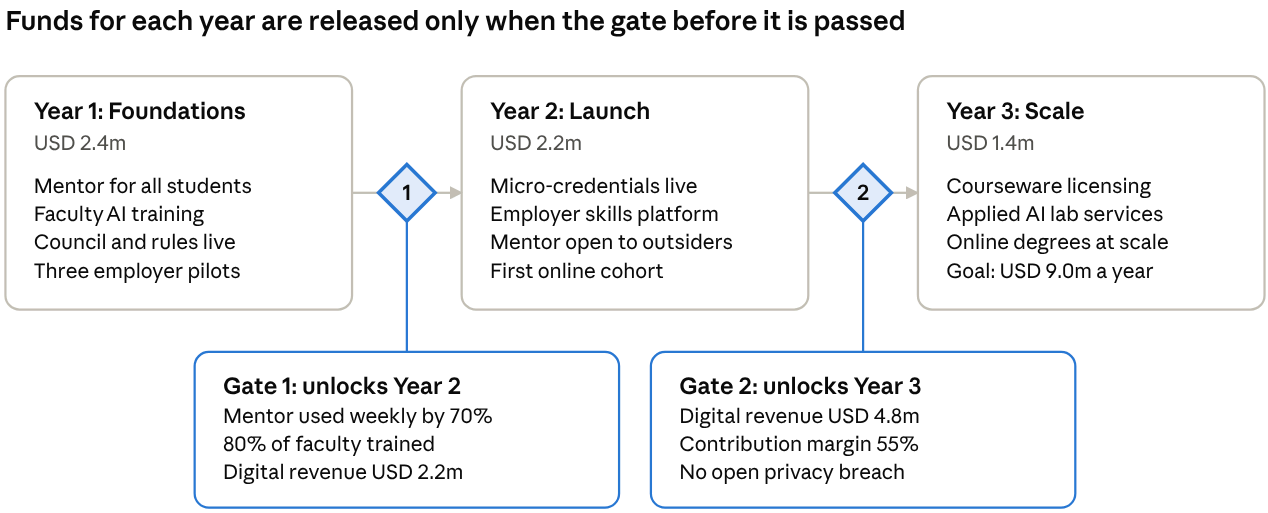
Area	Rule we adopt	Owner
AI and Digital Council	Meets monthly; seats for faculty and two students; decisions published; reports to Council each quarter	Provost
Academic integrity	Every syllabus carries one label: AI-free, AI-assisted (declare use) or AI-expected; detection scores are never sole evidence	Dean of Teaching
Assessment	More oral defences, in-class work and process portfolios; fewer take-home essays marked alone	Heads of department
Faculty role	An AI teaching partner for drafts and feedback; 20 hours of training in Year 1 with released time; saved marking time moves to mentoring	Dean of Teaching
Student AI fluency	A foundation module in the first semester; a capstone that shows work done with AI and a record of how	Registrar
Data and privacy	University-controlled data; vendor contracts forbid training on our data; yearly independent audit; breaches reported within 72 hours	CIO and General Counsel

Area	Rule we adopt	Owner
Build, buy, partner	Buy commodity parts (models, hosting); partner for reach (employers, clouds); build only what sets us apart: the course-grounded mentor, assessment and credentials	CIO

The 20-hour training, the 72-hour reporting window and the two student seats are proposals for the Council to confirm or change.

Three-year roadmap and the numbers we watch

The USD 6.0 million moves in three phases, and each phase after the first is released only when the gate before it is passed.



roadmap · 3 phases, 2 gates

Passing a gate is a Council decision, not a formality: a missed gate pauses spending until the shortfall is fixed.

The scorecard the Council reads each quarter (targets at each year-end; digital revenue starts at about USD 1.0 million)

KPI	Year 1	Year 2	Year 3
Digital revenue (USD m a year)	2.2	4.8	9.0

KPI	Year 1	Year 2	Year 3
Share of operating revenue (campus revenue flat at about USD 35m)	6%	12%	20%
Contribution margin on digital products	50%	55%	60%
Students using the AI mentor weekly	70%	80%	85%
Faculty trained in AI teaching	80%	95%	100%
Graduates with the AI-fluency credential	20%	60%	100%
Scholarship fund, 10% of digital margin (USD m)	0.11	0.26	0.54
Unresolved privacy breaches	0	0	0

Risks and how we manage them

The gravest risk is not that AI fails loudly but that it works so smoothly that nobody notices students have stopped thinking. Six risks could derail the programme; the Council reviews each one's warning sign every quarter.

Risk	How we reduce it	Early warning
AI gives wrong or biased answers	Mentor grounded in our course material, always citing it; easy hand-over to a human; monthly error audit	Rising escalations or student complaints
Over-reliance weakens thinking	AI-free assessments, oral defences and process portfolios; clear AI-use labels	Gap between take-home and in-class marks
Unequal access (devices, data costs, language)	Loan devices; low-bandwidth and offline modes; local-language support; scholarship fund	Usage gap between income groups
Revenue falls short	Spend released in three gates; start with employer pilots before large launches	Conversion below plan two quarters running

Risk	How we reduce it	Early warning
Faculty resistance or burnout	Released time for training; co-design with faculty; AI-enhanced teaching counted in promotion	Under 80% of faculty finishing training
Vendor lock-in, regulation or a data breach	Multi-vendor contracts with exit clauses; yearly audit; compliance with local data law	Vendor price rise above 20% or an open audit finding

The Chancellor's address to our newcomers

About five minutes spoken. Pause at each paragraph break.

Welcome. Look to your left, then to your right. Some of the people you will build your life's work with are sitting within arm's reach.

You are the first generation that will never know a world without artificial intelligence. The one in your pocket can write an essay, solve an equation, translate a language, and explain a hard idea six different ways at two in the morning. Some people will tell you that makes university pointless. I want to tell you the opposite.

If a machine can answer, then the value of a human being moves to the question. To knowing which question matters. To judging whether an answer is true, fair and wise. To deciding what to do about it, and to carrying the responsibility when it goes wrong. A machine does not carry responsibility. You will.

That is what we will teach you here, and I make you three promises.

First, you will never learn alone. Every student at this university has an AI mentor, free, built on our own courses and open at any hour. It will explain, quiz you and push you. And when it reaches the limit of what it can do, it will hand you to a human being, a teacher who knows your name.

Second, you will learn to work with AI, not to hide it. In every course you will be told plainly whether AI is forbidden, allowed or expected, and why. You will leave with a portfolio of work you did with AI and a record of how you thought along the way. That is not a shortcut. It is a skill, and it will be visible.

Third, a person will always be accountable. Your grades, your admission, your future will never be decided by a machine alone. Our rule is simple: AI helps, humans decide.

Now the harder part. Using AI well is not easy. It is very easy to let it think for you, and I will not pretend I would resist the temptation. A tool that always has an answer can quietly take away the habit of wrestling with a problem. So we will sometimes ask you to put it down. Argue your case aloud. Solve it on paper. Defend your work to a panel. Not because we distrust the tool, but because we trust you to become someone who can think without it, and who therefore uses it better.

And look beyond these walls. What we build for you will also serve a worker retraining in another city, a parent studying at midnight, a young person who will never see this campus. Part of what they pay will fund scholarships here. This university does not end at its gates.

So here is what I ask of you.

Be curious before you are efficient.

Be honest about what is yours and what was assisted.

Be generous: teach the person beside you what you have just learned.

And be brave enough to ask the question nobody has asked yet.

Some of you are nervous today. You suspect everyone else here already understands this technology. They do not. Nobody does. This field is being invented right now, and you are not late to it. You are early.

The destination is yours to choose. We will walk beside you, and so will the machines. But you will decide where we go.

Welcome to the beginning.

Appendix: 60-second pitch and assumptions

The pitch for sponsors and partners

We are turning our university into an AI-native one. Every student gets a free AI mentor and every teacher an AI teaching partner, while people stay accountable for every decision that matters. The same platform serves employers and learners worldwide through online degrees, micro-credentials and a skills platform, and by Year 3 it should bring in USD 9 million a year, a fifth of our income. We are looking for three kinds of partner: employers

who co-design credentials, institutions who share our data-trust rules, and donors who fund access. In return your people gain verified skills, and your name stands behind graduates who can think and work with AI.

Assumptions to replace with our actuals

- A university of about 12,000 students and USD 36 million annual revenue; digital products today earn about USD 1.0 million, roughly 3%; campus revenue is assumed flat at about USD 35 million.
- The three-year budget of USD 6.0 million, and every price, margin and count in this document, are planning estimates, not market data.
- Currency is US dollars; convert at the rate Council uses.

Sources. No external sources were used for this draft. Before it goes to Council, check local prices, accreditation rules and data-protection law.